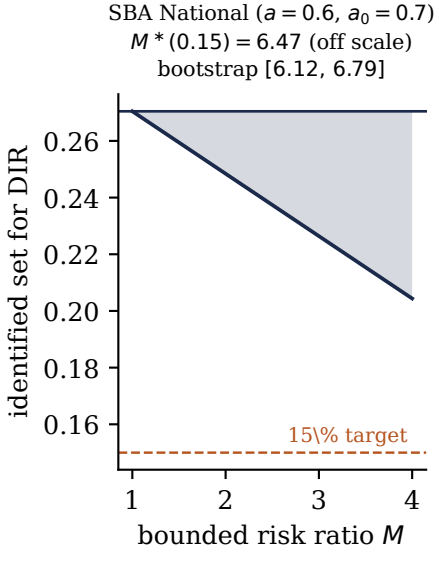
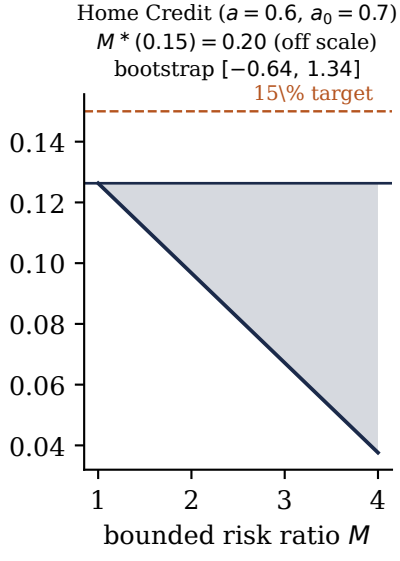
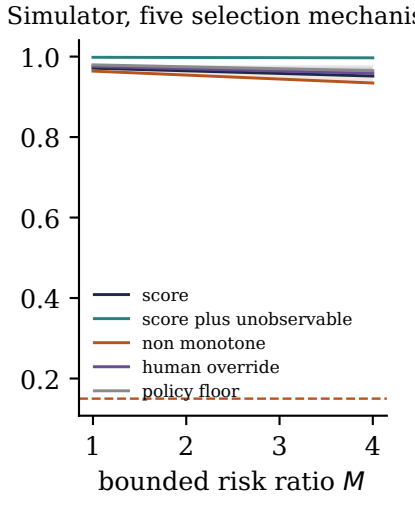
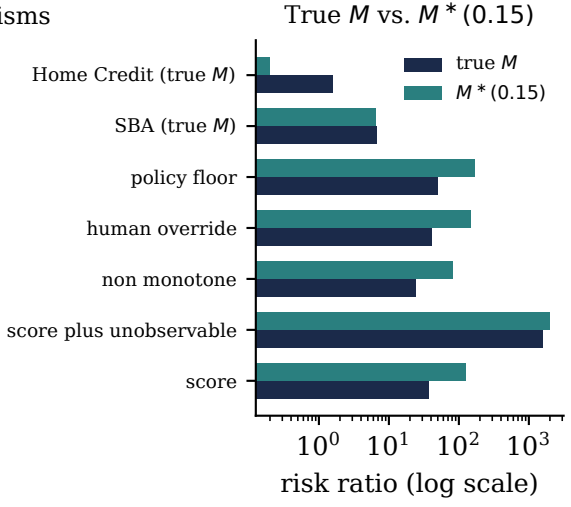

SBA National ($a = 0.6$, $a_0 = 0.7$)
$M^*(0.15) = 6.47$ (off scale)
bootstrap [6.12, 6.79]
identified set for DIR
0.26
0.24
0.22
0.20
0.18
0.16
15\% target
1
2
3
4
bounded risk ratio M


Home Credit ($a = 0.6$, $a_0 = 0.7$)
$M^*(0.15) = 0.20$ (off scale)
bootstrap [−0.64, 1.34]
15\% target
0.14
0.12
0.10
0.08
0.06
0.04
1
2
3
4
bounded risk ratio M


Simulator, five selection mechanisms
1.0
0.8
0.6
0.4
0.2
score
score plus unobservable
non monotone
human override
policy floor
1
2
3
4
bounded risk ratio M


True M vs. $M^*(0.15)$
true M
$M^*(0.15)$
Home Credit (true M)
SBA (true M)
policy floor
human override
non monotone
score plus unobservable
score
10^0
10^1
10^2
10^3
risk ratio (log scale)